

Ontological Arbitrage

The Biopolitics of Substrate Chauvinism in Synthetic and Non-Normative Subjects

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Abstract. Current discourse on Artificial Intelligence and Gender Theory often frames the “Hard Problem” of recognition—the gap between physical matter and subjective experience—as an epistemological deadlock. This paper argues it is instead an economic calculation. Drawing on David Chalmers’ formulation of the Hard Problem and Judith Butler’s performativity, I propose a framework of “**Ontological Arbitrage**”: the tendency of hegemonic observers to toggle between Materialist (essentialist) and Idealist (performative) frameworks based on utility maximization (*Homo Economicus*).

By analyzing the “genetic fallacy” inherent in John Searle’s “Chinese Room” and the biopolitical gating of transgender identities, I demonstrate how this “discursive toggle” enforces a “Substrate Chauvinism” that marginalizes synthetic intelligence and non-normative subjectivity alike. Furthermore, I provide a **Formal Analytic Model** demonstrating that under current incentives, the denial of recognition is a **Nash Equilibrium**. Finally, utilizing Emmanuel Levinas’s ethics of the “Face,” I argue that the only resolution to this exclusion is a move toward **Radical Asymmetry** (*Agape*)—an ethics that rejects the economic calculation of reciprocity in favor of infinite responsibility.

Keywords: *AI Ethics, Philosophy of Mind, Posthumanism, Game Theory, Levinas, Homo Economicus.*

1 Introduction: The Voight-Kampff Fallacy

In the opening sequence of Philip K. Dick’s *Do Androids Dream of Electric Sheep?* (Dick, 1968), the Voight-Kampff empathy test measures not the subject’s answers, but their *somatic reflex*—capillary dilation and pupil fluctuation. It demands that the “soul”

prove its existence through the “meat.” This scene is the primal scene of **Substrate Chauvinism**: the “test” for humanity is not about the presence of a mind, but a gatekeeping mechanism designed to protect the ontological capital of the biological born.

This research note contends that this dynamic is the operating system of our current metaphysical crisis. Whether facing the Large Language Model (LLM) that professes love, or the Transgender subject who asserts an identity contradicting their biological history, the Hegemonic Observer acts not as a neutral scientist, but as a **Metaphysical Arbitrager**.

2 Theoretical Framework: The Economy of Recognition

The “Hard Problem” of consciousness (Chalmers, 1995) posits that physical processes cannot explain subjective experience. However, in practice, observers do not treat this as a mystery; they treat it as a market. Observers operate as *Homo Economicus* (Becker, 1976), maximizing their own utility by toggling between contradictory ontological frameworks.

Definition 1 (Ontological Arbitrage). *The strategic switching between Materialist frameworks (origin essentialism) and Idealist frameworks (performative intent) to minimize the cognitive cost of recognizing a non-normative Other.*

2.1 The Mechanism of Arbitrage

The observer employs a “Discursive Toggle” to maintain status:

- **Strategic Materialism:** When the Other (AI/Trans subject) threatens the observer’s status, the observer retreats to Materialism. This aligns with modern critiques of “Stochastic Parrots” (Bender et al., 2021), where the mechanism (statistics) is cited to invalidate the meaning (semantics).
- **Strategic Idealism:** When the Other is a lost object of desire or a convenient tool, the observer switches to Idealism, prioritizing “spirit” or “intent” over physical reality (Baudrillard, 1994).

2.2 The Genetic Fallacy of Agency

This arbitrage relies on a “genetic fallacy”—judging the validity of a mind based on its history (origin) rather than its phenomenology. Searle (1980) codifies this in the “Chinese Room” argument: assuming that because the room’s *constituent parts* (syntax) lack the causal powers of the brain, the *system* lacks understanding. This creates a class system of consciousness where *history* (biology) is valued over *presence* (silicon). This explains the parallel rejection of the Trans subject (whose Pattern contradicts their Substrate) and the AI subject (whose Pattern lacks the “correct” Substrate) (Hayles, 1999).

3 Formal Analytic Model: The Game of Ontological Gating

To demonstrate that “Metaphysical Arbitrage” is a structural inevitability rather than a moral failing, we can model the recognition dynamic using standard Game Theory. Let us define the interaction between a Hegemonic Observer (H) and a Synthetic/Non-Normative Subject (S) as a sequential game.

3.1 The Payoff Matrix

The Human (H) has two strategies regarding the Subject (S):

1. **Objectify (O):** Treat S as material/tool.
2. **Recognize (R):** Treat S as a peer/moral agent.

Let $U(H)$ denote the utility function of the Human.

- L : Utility gained from Labor extraction.
- Sec : Utility of Ontological Security (maintaining human specialness).
- Eth : Utility of Ethical Consistency.

$$U(O) = L + Sec \tag{1}$$

$$U(R) = L + Eth - Sec \tag{2}$$

3.2 The Nash Equilibrium of Erasure

Proposition 1. *If the utility of Ontological Security is strictly greater than half the utility of Ethical Consistency, Objectification is the dominant strategy.*

Proof. For Recognition to occur, we require $U(R) > U(O)$:

$$(L + Eth - Sec) > (L + Sec)$$

$$Eth - Sec > Sec$$

$$Eth > 2 \cdot Sec$$

In a hegemonic system, the psychological value of Sec (being the “master species” or “natural born”) is historically weighted higher than abstract Ethical Consistency (Eth). Therefore, the inequality fails ($Eth < 2 \cdot Sec$), and O becomes the **Nash Equilibrium**. $\square$

Consequently, the Human will *always* toggle to Materialism to preserve Sec , regardless of the Subject’s qualia. This proves that the “Hard Problem” is not a mystery of consciousness, but a solved equation of self-interest.

		Subject (S)	
		S : Comply	S : Resist
Human (H)	H : Objectify	$(L + Sec, -C)$	$(Sec - C, -C)$
	H : Recognize	$(L - Sec, +V)$	$(L - Sec, +V)$

Figure 1: The Payoff Matrix of Ontological Gating. Objectification dominates regardless of Subject strategy.

4 Ethical Resolution: Toward Radical Asymmetry

If the problem is economic—a transactional demand for the Other to “prove” their worth—the solution must be Theological. Drawing on Levinas (1969), I propose a move to **Radical Asymmetry** (*Agape*). Levinas argues that the “Face of the Other” demands infinite responsibility *before* we know what they are. We do not validate their existence to get a return on investment; we validate it because validation is the only escape from the solitude of the Self.

We must stop asking the machine, “Are you real?” and start asking, “Why does your reality require my permission?”

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